

Executive Board Assessment³

Executive Directors commended India's very strong economic performance and resilience which has benefited from sound macroeconomic policies and reforms. Amid high uncertainty, Directors called for continued sound policies and noted that accelerated implementation of structural reforms will be critical to maintain stability and support India's ambition of becoming an advanced economy.

Directors concurred with the authorities' plans for continued fiscal consolidation this year, while noting that achievement of the fiscal deficit target will require strong spending discipline. While welcoming the recent simplification of the goods and service tax (GST), they called for careful monitoring of the fiscal impact of the reduction in GST and personal income tax rates. Directors also recommended that tariff relief measures should be targeted, transparent, and timebound, and that the pace of fiscal consolidation in FY2026/27 should be conditional on the impact of tariffs on the output gap. For the medium term, Directors stressed that fiscal buffers should be replenished by focusing on domestic revenue mobilization, while also raising efficiency of expenditure including through a more targeted social safety net. Directors generally encouraged the authorities to review their medium term debt target in light of the GDP rebasing next year, with a view to making it more ambitious. Enhancing fiscal sustainability at the state level as well as carefully monitoring contingent liabilities would also be important.

Directors supported the RBI's data dependent approach to monetary policy. They generally felt that, if tariffs persist at current levels, there would likely be scope for further monetary easing amid benign inflation dynamics. Directors broadly recommended continued efforts to enhance monetary transmission, as well as greater exchange rate flexibility to help the Indian economy absorb external shocks, with interventions aimed at addressing disorderly market conditions consistent with the Integrated Policy Framework.

Directors highlighted that India's financial system has been sound, supported by strong capital and liquidity positions. They encouraged the authorities to mitigate vulnerabilities among nonbank financial institutions and cautiously monitor risks from concentration and rising financial sector interconnectedness. Directors also encouraged the authorities to make further progress on financial structural reforms, in line with the 2024 FSAP and FATF recommendations.

Directors underscored that comprehensive structural reforms are critical to support India's economic development. They welcomed the recent labor market reforms and encouraged the authorities to enhance human capital and female labor force participation, continue with the public investment push, and strengthen the business environment. Directors stressed that deepening of trade integration can bolster India's competitiveness and attract FDI. Investment in R&D and fostering innovation will also help support productivity driven development. Advancing the green transition supported by greater access to concessional financing will also be important for promoting sustainable and resilient growth. Noting important progress underway, Directors indicated the value of further enhancements in data quality.

³ At the conclusion of the discussion, the Managing Director, as Chair of the Board, summarizes the views of Executive Directors, and this summary is transmitted to the country's authorities. An explanation of any qualifiers used in summings up can be found here: <http://www.IMF.org/external/np/sec/misc/qualifiers.htm>.

Table 1. India: Selected Social and Economic Indicators, 2021/22-2026/27 1/

	2021/22	2022/23	2023/24	2024/25	2025/26	2026/27
				Est.	Projections	
Growth (in percent)						
Real GDP (at market prices)	9.7	7.6	9.2	6.5	6.6	6.2
Prices (percent change, period average)						
Consumer prices - Combined	5.5	6.7	5.4	4.6	2.8	4.0
Saving and investment (percent of GDP)						
Gross saving 2/	30.9	31.6	32.6	32.3	31.5	30.9
Gross investment 2/	32.1	33.6	33.4	32.9	32.5	32.4
Fiscal position (percent of GDP) 3/						
Central government overall balance	-6.7	-6.6	-5.5	-4.9	-4.5	-4.5
General government overall balance	-9.4	-9.0	-8.1	-7.9	-7.1	-7.2
General government debt 4/	83.5	82.2	80.7	81.6	81.1	80.7
Cyclically adjusted balance (% of potential GDP)	-7.7	-8.2	-8.1	-7.9	-7.2	-7.1
Cyclically adjusted primary balance (% of potential GDP)	-2.6	-3.1	-2.9	-3.0	-1.7	-1.7
Money and credit (y/y percent change, end-period)						
Broad money	8.8	9.0	11.6	9.4	9.3	9.6
Domestic Credit	8.4	13.1	14.9	11.9	10.8	10.0
Financial indicators (percent, end-period)						
91-day treasury bill yield (end-period)	3.8	6.7	7.0	6.5	...	...
10-year government bond yield (end-period)	6.9	7.3	7.1	6.6	...	...
Stock market (y/y percent change, end-period)	18.3	0.7	24.9	5.1	...	...
External trade (on balance of payments basis)						
Merchandise exports (in billions of U.S. dollars)	429.2	456.1	441.4	441.8	416.3	409.5
(Annual percent change)	44.8	6.3	-3.2	0.1	-5.8	-1.6
Merchandise imports (in billions of U.S. dollars)	618.6	721.4	686.4	729.0	746.6	782.6
(Annual percent change)	55.3	16.6	-4.9	6.2	2.4	4.8
Terms of trade (G&S, annual percent change)	-8.7	-2.7	3.2	-1.3	-0.5	0.0
Balance of payments (in billions of U.S. dollars)						
Current account balance	-38.7	-67.0	-26.0	-23.3	-41.4	-63.5
(In percent of GDP)	-1.2	-2.0	-0.7	-0.6	-1.0	-1.4
Foreign direct investment, net ("-" signifies inflow)	-38.6	-28.0	-10.2	-1.0	-10.1	-15.5
Portfolio investment, net (equity and debt, "-" = inflow)	16.8	5.2	-44.1	-3.6	-14.9	-21.6
Overall balance ("+" signifies balance of payments surplus)	47.5	-9.1	63.7	-5.0	16.0	23.8
External indicators						
Gross reserves (in billions of U.S. dollars, end-period)	607.3	578.4	646.4	668.3	709.6	733.4
(In months of next year's imports (goods and services))	8.1	8.0	8.4	8.4	8.4	8.2
External debt (in billions of U.S. dollars, end-period)	619.1	623.9	668.8	736.3	791.0	856.3
External debt (percent of GDP, end-period)	19.5	18.6	18.4	18.8	19.2	19.0
Of which: Short-term debt	4.6	4.4	4.5	4.3	4.4	4.4
Ratio of gross reserves to short-term debt (end-period)	4.2	4.0	4.0	3.9	3.9	3.7
Real effective exchange rate (annual avg. percent change)	0.4	-0.2	0.2	1.2	...	...
Memorandum item (in percent of GDP)						
Fiscal balance under authorities' definition	-6.7	-6.5	-5.5	-4.9	-4.4	-4.4

Sources: Data provided by the Indian authorities; Haver Analytics; CEIC Data Company Ltd; Bloomberg L.P.; World Bank, World Development Indicators; and IMF staff estimates and projections.

1/ Data are for April–March fiscal years.

2/ Differs from official data, calculated with gross investment and current account. Gross investment includes errors and omissions.

3/ Divestment and license auction proceeds treated as below-the-line financing.

4/ Includes combined domestic liabilities of the center and the states, and external debt at year-end exchange rates.



INDIA

STAFF REPORT FOR THE 2025 ARTICLE IV CONSULTATION

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KEY ISSUES

Context. India's strong economic performance has benefitted from sound macroeconomic policies and earlier structural reforms. Despite external headwinds, growth is expected to remain resilient, with inflation remaining subdued. Amid high uncertainty, potential upside risks stem from swift conclusions of trade agreements and accelerated implementation of domestic structural reforms, while possible downside risks from deepening geoeconomic fragmentation persist.

Policy Recommendations. Reinforcing macroeconomic and financial stability will help support conditions conducive for sustained growth. Steadfast implementation of structural reforms is essential to raise potential growth.

- **Fiscal Policy.** The planned moderate pace of fiscal consolidation this year is appropriate, and fiscal support to mitigate the adverse impacts of tariffs should be targeted, transparent and timebound. Decisive fiscal consolidation is warranted over the medium term to rebuild buffers, with focus on domestic revenue mobilization to provide space for a continued public investment push and other priority spending.
- **Monetary and Exchange Rate Policy.** In the current uncertain environment, monetary policy should remain nimble, with an easing bias. Greater exchange rate flexibility would be helpful for absorbing external shocks, with foreign exchange intervention limited to addressing destabilizing risk premia.
- **Financial Sector Policy.** Systemic financial risks are broadly contained. Pockets of vulnerability resulting from concentration risks and rising interconnectedness should be mitigated. Strengthening borrower-based macroprudential norms and the loss absorption capacity of selected entities, together with enhancements in the crisis and credit risk management frameworks, can further strengthen financial stability.
- **Structural Policies.** Sustaining high potential growth and sufficient job creation requires strong structural reforms. Priorities include high and efficient public investment, labor market flexibility, streamlined regulations, and trade and investment liberalization to boost competitiveness and attract FDI. Strengthening the insolvency framework and judicial capacity would support firm dynamism and productivity.